

adverse selection in the language of insurance economists. The insurance company might be taking on more risk than initial estimates of the population would suggest, because it will have a disproportionate number of high-risk clients. This could place the company in a potentially ruinous situation, because it will have to pay out more claims than it expects. Hence, the resulting price-it-in-the-middle approach diverges from the “fair” price of the insurance—the present value of expected future benefit payouts.

The bottom line from all this “insurance theory” is that buying any type of insurance, and life insurance in particular, is more than just a matter of probabilities. There is a real “game” that goes on between the buyer and the seller, which impacts the pricing as well. I come back to this topic later in the book when I discuss the many ways of insuring your investments and your retirement income.

How Much Life Insurance Do I Need?

Although the pricing of insurance is a rather scientific discipline, determining the amount of insurance coverage that you require is not as rigorous. Many people mistakenly believe that you can never have too much insurance. Many in the industry who sell insurance for a living might want you to believe that as well. I disagree. I think that there is an upper bound (called the income approach) and a lower bound (called the expense approach), and anything in between is fair game (see Figure 2.3). By upper bound, I mean the most amount of life insurance that you can possibly justify buying without effectively over-insuring yourself. By lower bound, I mean the least amount of insurance you can possibly justify without under-insuring, aka placing your family and loved ones at risk.

The income approach attempts to estimate how much money you can expect to earn over the course of your working years and beyond, which is the value of your human capital. Some practitioners have refined the income approach by subtracting from the previously mentioned number, a fixed amount to take account of income taxes (because the death benefit is not taxable) and also subtract the expenses you would have incurred had you been alive—this gives you the amount of insurance you require. Here is a simple example.